Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

Business Cycle

Exam code: 0450, 0986 & 0264, 0774

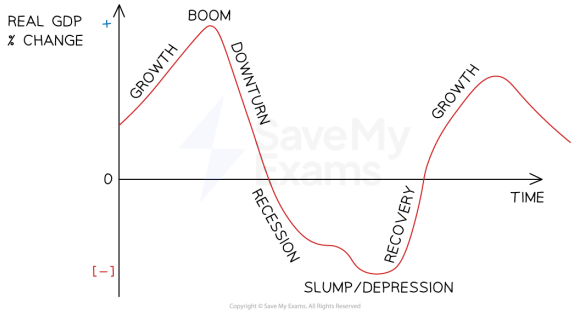
Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 28 August 2025

Stages of the business cycle

- The business cycle describes the **upturns** and **downturns** in the level of a country's economic activity (**gross domestic product** or GDP) over time
- Economies **do not experience consistent levels of growth** over time

The business cycle



The business cycle diagram shows periods of growth, boom, recession and slump in an economy

Growth

- The **growth** stage is a period of increasing rates of GDP growth
  - Disposable income levels rise and lead to increased demand for products
  - This drives an increase in production levels, which leads to a rise in employment levels
  - Businesses look to expand and increase profit

Boom

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- Inflation is also high due to higher demand for goods and services
- Unemployment levels are low and wages are high due to a shortage of skilled workers

Recession

- A **recession** occurs when an economy experiences **two consecutive quarters (6 months) or more of negative GDP growth**
  - Incomes and consumer demand fall, leading to reduced output
  - Consumer and business confidence tend to be low
  - Business profits fall and unemployment rises

Slump

- A **slump** is an **extended period of negative GDP growth**
  - Unemployment is likely to be high as a result of high levels of business failure
  - Significant declines in household incomes and business profits
  - Increased government spending on **welfare benefits** and infrastructure projects to inject demand into the economy **may benefit some businesses**

Help me understand

The impact of the business cycle on business

- Businesses must **adapt** their strategies at each stage of the cycle
  - For example, cutting costs in a recession or investing in growth during a boom

Impacts at each stage of the business cycle

Stage of business cycle	Impact on business	Example
Growth	• During the growth stage, businesses experience **higher sales and profits** as consumer demand increases • They are likely to invest more in new products, staff, and equipment	• After the 2008 financial crisis, **Apple** saw strong global demand for iPhones and expanded its operations worldwide
Boom	• In a boom, businesses often	• **Tesla** benefited from a booming

	may also face rising costs due to **increased wages**, competition for skilled workers and the impact of inflation on materials	demand and strong investor confidence helping it grow rapidly
Recession	• During a recession, businesses usually face **falling sales and profits** as consumer spending declines • Many businesses reduce costs by **cutting jobs** or delaying investment	• In the 2020 COVID-19 recession, **Primark** lost significant income due to store closures and reduced customer spending
Slump	• A slump is the most severe stage of the business cycle, where many businesses **face major losses** or closure due to very low demand • Investment falls, and **unemployment rises sharply,** reducing consumer spending	• In early 2020, many airlines faced a severe slump due to global travel restrictions • Passenger numbers dropped dramatically, leading to cancelled flights, redundancies, and government bailout requests

Examiner Tips and Tricks

Don't just memorise the four stages of the business cycle – show how each one affects businesses differently. For example, a boom might raise sales but also costs (like wages), while a recession lowers demand but may reduce interest rates.

Effects of employment, inflation, and economic

1. Employment Levels

- **Slump and recession (low employment/high unemployment)**
  - Many people out of work → consumer demand falls, especially for non-essential goods
  - Easier and cheaper to recruit staff (wages lower, labour supply higher)
  - Risk of low staff motivation and morale if job insecurity is high
- **Boom and growth (high employment/low unemployment)**
  - More people in work → consumer demand and sales rise
  - Harder to recruit staff (skills shortages, competition)
  - Wages may rise, increasing business costs

2. Inflation

- **Slump and recession (low inflation or even deflation)**
  - Falling prices may encourage consumers to delay spending, reducing sales
  - Lower inflation = more stable costs, easier planning for businesses
  - Risk of squeezed revenue if prices cannot be maintained
- **Boom and growth (higher inflation likely)**
  - Rising costs of raw materials and wages reduce profit margins
  - Businesses may need to raise prices, but risk losing customers
  - Uncertainty in pricing makes planning and forecasting difficult

3. Economic Growth

- **Slump and recession (low/negative growth)**
  - Consumer incomes fall → lower demand, especially for luxury or non-essential goods
  - Businesses may cut investment, delay expansion, or make redundancies
  - Some opportunities for "inferior goods" (low-cost options) as consumers switch to cheaper products
- **Boom and growth (high/positive growth)**
  - Rising incomes → strong demand for goods and services
  - More opportunities to expand, innovate, and increase profits
  - Risk of higher costs (wages, rent, raw materials) as demand outstrips supply

Teacher only

New! Exclusive Teacher-Only Questions

Fair accurate tests - built fast

Explore in Test Builder

Test yourself

Flashcards

Was this revision note helpful? Yes No

Previous

Next

Course

Study tools

All topics

Resources

Learning Hub

Scholarship

Join

Past Papers

Solution Banks

Sitemap

Company

About us

Exam Specificity

Content Quality

Promotions

Jobs

Terms

Privacy

Cookie Policy

Help and Support

Dashboard

Overview

Brand ambassador

Profile

Subscription

Settings

Log out

Subjects

Biology

Chemistry

Physics

Maths

Geography

English Literature

Psychology

All Subjects